

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 23-03

CERTIFIT, INC.

COMPLAINANT

V.

**EVERGREEN SHIPPING AGENCY (AMERICA) CORP., AS AGENT FOR
EVERGREEN LINE, EVERGREEN GROUP d/b/a EVERGREEN LINE**

RESPONDENTS

OPENING BRIEF OF CERTIFIT, INC.

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Complainant CertiFit, Inc. (“CertiFit” or “Complainant”), by and through its undersigned counsel, hereby files its Brief, pursuant to 46 C.F.R. § 502.214 and the Scheduling Order dated July 21, 2023.

I. INTRODUCTION

This action arises from Evergreen’s numerous violations of the Shipping Act of 1984, 46 U.S.C. §§ 40101 – 41309 (the “Act” or “Shipping Act”), which occurred during the course of the parties’ business relationship in 2020-2021. The effective date of the parties’ service contract (the “2020 Service Contract” or “Agreement”), which began on April 27, 2020, coincided with the start of the Covid-19 pandemic, which ultimately lead to the largest profit margins for carriers. But these profits were not a result of a sharp increase in negotiated service contracts; rather, carriers—Evergreen included—flouted their obligations in pursuit of selling space on the spot market which provided astonishing returns.

CertiFit and Evergreen Shipping Agency (America) Corp., as agent for Evergreen Line, Evergreen Group d/b/a Evergreen Line (“Evergreen”), an ocean common carrier, entered into a service contract on April 27, 2020. This was not the first year that CertiFit had contracted with Evergreen to carry its cargo. Indeed, Evergreen’s Los Angeles import/export sales lead, John Bennett, acknowledged the parties’ long-standing relationship, stating Evergreen “value[d] CertiFit as a good customer...which [Mr. Bennett] had the pleasure of doing business [with] on and off...for approx. 25 years.” (CX7-0545, CF03174) Despite these pleasantries, Evergreen’s unreasonable conduct throughout the term of 2020-2021 shipping year caused significant damages to CertiFit.

Pursuant to the Agreement, CertiFit agreed to ship, and Evergreen agreed to transport 1,000 TEUs from ports in Taiwan to CertiFit’s inland warehouses located in Salt Lake City, Utah and Memphis, Tennessee. By August 13, 2020, Evergreen’s continued practice of accepting bookings

and then cancelling (or not releasing space on the vessel) prompted CertiFit's first demand letter, in addition to consistent requests for additional surcharges above the negotiated rates in order for Evergreen to accept CertiFit's cargo. The first demand did not have the intended effect. Approximately three months later, CertiFit provided a second demand outlining the same problems, which continued throughout the duration of the Contract. With just eleven days left in the term, Evergreen had shipped 157 of the 445 containers it had agreed to, which caused CertiFit to seek out other carriers who agreed to ship its cargo, however, CertiFit was forced to pay rates well above those it had negotiated with Evergreen.

Evergreen, relying on the Covid-19 pandemic and equipment shortages, stuck to their theme that they were diligently trying to provide as much space as they could, but the evidence makes clear that the exorbitant rates being paid on the spot market were too good to pass up. Due to Evergreen's unreasonable conduct and practices, CertiFit was among the shippers that ended up having to pay these increased rates even though it had a negotiated rate with Evergreen.

The most glaring evidence of Evergreen's unscrupulous conduct came in January 2021. Without notice or a request from CertiFit, Evergreen proposed an amendment to the 2020 Service Contract indicating that it needed to add the port of Taipei, Taiwan. It was at this time that Evergreen made crystal clear that it was holding CertiFit's bookings because it needed the amendment to be executed and filed with the Commission, however, the true reason behind the amendment was to reduce Evergreen's quantity commitment to 25 TEUs—a 975 TEU reduction from the agreed upon commitment, which would also limit its liability under the 2020 Service Contract.

As set forth herein, Evergreen's conduct resulted in several violations of the Shipping Act which resulted in CertiFit being damaged.

A. Procedural History

CertiFit filed its Verified Complaint against Evergreen on April 26, 2023. *See* Docket Entry No. 1. The Complaint alleges various violations of the Shipping Act, including violations of 46 U.S.C. § 41104(a)(2) – providing service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into –; 46 U.S.C. § 41104(a)(5) – for service pursuant to a service contract, engage in any unfair or unjustly discriminatory practice against any commodity group or type of shipment or in the matter of rates or charges with respect to any port –; 46 U.S.C. § 41104(a)(9) – for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port –; 46 U.S.C. § 41104(a)(10) – unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier –; and 46 U.S.C. § 41102(c) – failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.

On May 25, 2023, Evergreen filed its Answer to Complaint with Affirmative Defenses. *See* Docket Entry No. 7.

Pursuant to the Scheduling Order, discovery closed on October 20, 2023, and CertiFit's brief, proposed findings of fact and appendices are to be filed on November 30, 2023. *See* Docket Entry No. 10. CertiFit now submits its brief, including proposed findings of fact, and the appendices pursuant to the Scheduling Order.

II. PROPOSED FINDINGS OF FACT

CF PFF 1. CertiFit is a corporation existing under the laws of the State of Utah with its principal place of business at 3170 South 900 West, Salt Lake City, Utah 84119. (Compl., ¶ 1; CX6-0502)

CF PFF 2. CertiFit is an importer of aftermarket auto parts from Asia, primarily Taiwan, and is a shipper of goods which relies on ocean carriers, including Respondent to ship its goods to the United States. (Compl., ¶ 3; CX6-0503)

CF PFF 3. Evergreen Shipping Agency (America) Corp. as Agent for Evergreen Line is a corporation existing under the laws of the State of New Jersey with its principal place of business located at 1 Evertrust Plaza, Ste. 600, Jersey City, New Jersey 07302. Evergreen Group d/b/a Evergreen Line is a trade name for various entities as noted above. At all relevant times hereto, Evergreen Shipping Agency (America) Corp. is a disclosed agent for the Evergreen Group and its constituent corporations, which includes Evergreen Group, consisting of container shipping companies including Evergreen Marine Group (Taiwan) Ltd., Italia Maritime S.p.A., Evergreen Marine (UK) Ltd., Evergreen Marine (Hong Kong) Ltd., Evergreen Marine (Singapore) Pte. Ltd., and Evergreen Marine (Asia) Pte. Ltd. (Compl. ¶ 13; CX6-0506)

CF PFF 4. Evergreen holds itself out to the general public as a transporter of cargo as evidenced by its website, which provides a “Do Business” menu listing sailing schedules, links to book shipments via email or its website, and tracking cargo.¹

CF PFF 5. As outlined below, Evergreen holds itself out to accept cargo for whoever offers by providing shipping quotes, negotiating rates, executing shipping contracts, and filing those contracts with the Commission. *See* CF PFF Nos. 12-26, *infra*.

¹ <https://www.evergreen-shipping.us/egsweb/company.html> (last visited on Nov. 29, 2023).

CF PFF 6. The Federal Maritime Commission (“FMC” or “Commission”) has jurisdiction over Evergreen because (a) it is a “ocean common carrier” as defined by the Shipping Act and as explained below (b) Evergreen entered into the 2020 Service Contract with CertiFit, and (c) as shown herein, Evergreen’s conduct and actions implicate prohibitions contained in the Shipping Act. (CX4-0480-0490)

CF PFF 7. Prior to 2020, the year the Covid-19 pandemic began, CertiFit had entered into service contracts with Evergreen for the carriage of CertiFit’s cargo for shipping years 2014-2015, 2015-2016, 2016-2017, 2017-2018, and 2018-2019. (CX7-0522-0529)

CF PFF 8. During the 2018-2019 shipping year, the parties entered into a service contract in which CertiFit agreed to tender and Evergreen agreed to transport 1,200 TEUs (approximately 534 40’ high cube containers) from May 1, 2018 – April 30, 2019. (CX7-0528-0530)

CF PFF 9. CertiFit exclusively uses 40’ high cube containers to ship its goods. *Id.*

CF PFF 10. Despite CertiFit submitting booking notices for twelve containers per week, Evergreen was only accepting three containers per week. (CX7-0531)

CF PFF 11. On August 28, 2018, CertiFit mailed a demand letter to Evergreen notifying it that only 85 forty-foot-high cube containers—of the 534 agreed upon—had been shipped (approximately 15.9% of CertiFit’s minimum quantity commitment). (CX7-0530-0531)

CF PFF 12. CertiFit was also concerned that Evergreen would “suddenly flood [] [it] with containers again late in the Agreement term...caus[ing] CertiFit to incur very significant detention and demurrage charges...[I]t was only two months ago that CertiFit agreed to pay \$45,000 in detention and demurrage charges to Evergreen.” (CX7-0531)

CF PFF 13. Due to Evergreen’s failure to transport the minimum quantity commitment, as well as the significant detention and demurrage charges, Evergreen did not renew its service contract with Evergreen for the 2019-2020 shipping year. (CX7-0534)

CF PFF 14. As the 2020-2021 shipping year approached, CertiFit contacted Evergreen to obtain a shipping quote. *Id.*

CF PFF 15. CertiFit also executed a service contract with OOCL—Evergreen’s alliance partner, for the 2020-2021 shipping year.

CF PFF 16. In its initial email request for a quote, CertiFit stated “It has been a while we had a contract with you, but would like to try again...Our business is aftermarket auto body parts, we are interested in contracting about 750 containers from all ports in Taiwan.” (CX7-0534)

CF PFF 17. Evergreen’s employee, Kenneth Wu, eventually responded to CertiFit’s request, stating:

Yes we did have a service contract with Certifit in 2018-2019 contract year. If I recall correctly, Evergreen was the core carrier for your Memphis cargo and backup carrier for Salt Lake City. Since it has been over a year of doing business, please kindly advise if there are any further destinations I will need to check with my [p]ricing. Believe [sic] the origins were Kaohsiung, TW, Keelung, TW and Taichung, Tw. I will check with my [p]ricing, and revert back with our proposal for your review and consideration.

(CX7-0535-0536)

CF PFF 18. In further email correspondence with Evergreen, CertiFit requested a quote for “port to door service” to Memphis, TN and Salt Lake City, UT for between 500-1000 containers and 14-to-21-day detentions. Additionally, CertiFit requested confirmation of space commitments, among other considerations. (CX7-0535)

CF PFF 19. In response to Evergreen’s first pricing quote on April 6, 2020, CertiFit inquired whether “there [is] any guarantee of space allocation (CSAL) on each vessel? I have heard there is a lot of blank sailings going, would this affect us?” (CX7-0537)

CF PFF 20. On April 10, 2020, Mr. Wu responded, stating “[r]egarding space support, we will support based on the MQC that we signed. If we sign an MQC of 1000 TEU, then that would be roughly 10x40’HQ/week space support.” This email correspondence provided a revised quote. (CX7-0538)

CF PFF 21. Mr. Wu’s email correspondence on this date further provides that the offer is an “all-in-rate” which consisted of \$3,950/40’HQ to Salt Lake City, UT and \$3,900/40’HQ to Memphis, TN. Additionally, the quote states the “Above offer includes: ... General Rate Increase (GRI). (CX7-0538)

CF PFF 22. On April 27, 2020, Evergreen emailed CertiFit the 2020-2021 Service contract which incorporated the terms set forth in Mr. Wu’s email correspondence on April 10, 2020, including but not limited to a minimum quantity commitment of 1,000 TEUs and the general rate increase being included in the rates. (CX7-0539; CX4-0481, 0487)

CF PFF 23. Tom Chen, Evergreen’s Deputy Junior Vice President, is also cc’d on this email, and is the individual who executed the contract “as agent of Evergreen Line.” (CX7-0539; CX4-0480)

CF PFF 24. That same day, Mr. Wu, emails CertiFit informing it “you may simply reply with ‘confirm for filing’ as an alternative to printing and scanning us back the signed contract. Once received, we will file and provide the SC# for booking purposes, thank you.” (CX7-0540)

CF PFF 25. On April 28, 2020, CertiFit responds to Mr. Wu’s email, stating “Please confirm for filing.” (CX7-0541)

CF PFF 26. In response, Mr. Wu emails another Evergreen employee, Andrea, stating “Please assist with filing with EGA [Evergreen America] NYC.” Mr. Chen is also cc’d on this email. (CX7-0541)

CF PFF 27. On April 29, 2020, CertiFit receives the contract number for the 2020-2021 shipping year—SC#82616 (the “2020 Service Contract”). (CX7-0542); Answer, ¶ 3.

CF PFF 28. The 2020 Service Contract was for the shipment of goods by sea from foreign countries to the United States and for the delivery to warehouse facilities within the United States via truck and rail. *See generally*, CX4.

CF PFF 29. Pursuant to the 2020 Service Contract, CertiFit agreed to tender, and Evergreen agreed to transport, a minimum volume/quantity commitment of 1,000 TEUs from the following port pairs: Hong Kong/Yantian/Kaohsiung/Pusan/Shanghai/Ningbo/Qingdao to Salt Lake City, UT; Keelung, TW to Salt Lake City, UT; Taichung, TW to Salt Lake City, UT; Hong Kong/Yantian/Kaohsiung/Pusan/Shanghai/Ningbo/Qingdao to Memphis, TN; Keelung, TW to Memphis, TN; and Taichung, TW to Memphis, TN. (CX6-0508, ¶ 24; CX4-0486)

CF PFF 30. The 2020 Service Contract did not include the port of Taipei, Taiwan. *Id.*

CF PFF 31. Because CertiFit only uses 40’ high cube containers to ship its cargo, the 2020 Service Contract provides a conversion formula based on the container size. A 40’ high cube container equates to 2.25 TEUs, which means that the 1,000 TEU commitment provided in the 2020 Service Contract equals 444.4 40’ high cube containers. (CX13-0798, § 3.2.2)

CF PFF 32. On August 13, 2020, CertiFit sent Evergreen a demand letter complaining of the following: (i) “Evergreen appears to be actively thwarting our efforts to comply with the Agreement...[because] Evergreen is refusing to accept [] containers, and demanding significant additional surcharges to accept them, in excess of US\$1,000 per container above the amounts

stated in the Agreement”; and (ii) that “Evergreen will suddenly flood us with containers late in the Agreement term, and cause CertiFit to incur very significant detention and demurrage charges payable to Evergreen.” (CX7-0543-0544)

CF PFF 33. Due to Evergreen’s conduct, as outlined in the August demand, CertiFit requested that “Evergreen immediately begin honoring all of CertiFit’s booking notices, make sufficient vessel space available to honor the letter and spirit of the Agreement, and stop taking actions (or inaction) that will prevent CertiFit from reaching its MQC in a timely manner without additional charges or unjust detention and demurrage charges later in the Agreement term.” *Id.*

CF PFF 34. In response, Evergreen employee, John Bennett, outlines the reasons for Evergreen’s failure to ship containers tendered by CertiFit, stating in relevant part: “the pandemic has created significant challenges for many businesses”; “we [Evergreen] made every attempt to understand the needs of our customers in the upcoming 2020-2021 shipping season”; “as May [2020] rolled into June [2020] and up until the present [] we are experiencing extremely high volume demand which is outstripping capacity.” (CX7-0544-0545)

CF PFF 35. With respect to space support, Mr. Bennett stated “we [Evergreen] can commit to the 5-8 FEU.” *Id.*

CF PFF 36. Mr. Bennett also addressed CertiFit’s assertion that Evergreen was requesting a \$1,000 surcharge to ship its containers, stating “...despite the fact that the market rate has significantly increased over the last few months, we are not asking CertiFit to increase the contracted rates.” *Id.*

CF PFF 37. In response to CertiFit’s concern of Evergreen flooding it with space late in the term, Mr. Bennett expressed “our intention is not to purposely wait til the latter part of the

contract and expect you to significantly increase your volume or consolidate multiple vessel volume which understandably could cause some supply chain issues for Certifit.” *Id.*

CF PFF 38. Mr. Bennett concludes Evergreen’s response noting “we value Certifit as a good customer which I personally have had the pleasure of doing business on and off with for approx. 25 years going back to when the company name was Ostler Intl.” *Id.*

CF PFF 39. Despite Mr. Bennett’s confirmation that Evergreen could commit to shipping 5-8 FEU per week, its performance throughout the first four months of the term caused CertiFit to contact Laufer to accept its offer to provide space for forty-eight containers of the next two months. This occurred on the same day as CertiFit’s demand. (CX7-0546-0555)

CF PFF 40. On August 21, 2020, an internal CertiFit email describes booking problems its suppliers are having in Taiwan, stating “The supplier say Evergreen often cancel[s] the space in the end even though they got “YES” on the booking. Evergreen is not reliable. We try our best...” (CF3179)

CF PFF 41. This email outlines twenty-six booking requests with closing dates ranging from August 27, 2020 through September 10, 2020. Of those requested bookings, only seven containers were transported by Evergreen. (CX13-0816)

CF PFF 42. On October, 14, 2020, CertiFit receives an email notification from Evergreen indicating that it was levying a general rate increase of \$1,000 USD (40’ high cube container) for shipments from the Far East to the US. According to this email, the rate increase goes into effect on November 15, 2020. (CX7-0556)

CF PFF 43. Notably, the rate increase is the same amount that CertiFit was being asked to pay as a surcharge to ship its cargo. *See* CF PFF 30, *supra*.

CF PFF 44. Evergreen's general rate increase conflicts with the terms of the 2020 Service Contract, which states "General Rate Increase (GRI) is included in all rates. (CX4-

CF PFF 45. The general rate increase levied by Evergreen is also inconsistent with Mr. Wu's shipping quote which stated that the freight rate included the general rate increase. (CX4-0487)

CF PFF 46. On November 4, 2020, an internal CertiFit email outlines its booking requests, organized by closing week, from August 27, 2020 to December 3, 2020. The booking quantity throughout this period amounts to 258, and Evergreen had only released space for 53 containers as of the date of the email—November 4th. (CX7-0557, CX10-0562-0563).

CF PFF 47. On November 12, 2020, CertiFit sends a second demand letter to Evergreen which outlines many of the same grievance that were included in the August 13th demand, including but not limited to: (i) CertiFit has "tendered many containers to Evergreen for shipment under the Agreement, but Evergreen continually refuses to accept them. Evergreen obviously has capacity to ship the containers, because Evergreen will accept CertiFit's tendered containers if CertiFit pays a very substantial surcharge for each container, more than US\$1,000 per container..." (CX7-0558; CX1-0006-CX1-0039)

CF PFF 48. Consistent with CertiFit's prior complaints to Evergreen, CertiFit is concerned that Evergreen is attempting to "force CertiFit toward failing to satisfy the MQC" and that it was "becoming ever clearer to us that as Evergreen has done in previous years, it intends to suddenly ship a huge backload of tendered containers later in the Agreement term...resulting in the unjust enrichment of Evergreen by charging CertiFit massive detention and demurrage charges." (CX7-0558)

CF PFF 49. Additionally, CertiFit again complains that Evergreen is “unilaterally demand[ing] mid-contract price increases in bad faith, cloak[ing] them in the guise of surcharges or detention fees.” *Id.*

CF PFF 50. For the second time, CertiFit requests that Evergreen “immediately begin honoring all of CertiFit’s booking notices, that it use the vessel space both parties know is available to carry CertiFit’s tendered containers in a timely and even way...[and] stop taking unilateral, unjust actions to force mid-contract price increases on CertiFit.” *Id.*

CF PFF 51. In its response to the second demand, which was received by CertiFit approximately two weeks later, Mr. Bennett states

We receive [sic] another letter from you dated November 12th essentially stating very similar complaints as the previous letter you sent. My response below to the previous still applies as the market capacity and demand have not changed at all. In fact, it has become much worse since August...[due to] an extreme shortage of equipment...We will continue to do our best to service you at the agreed upon level and extra free time that was originally signed in the service contract. To be clear, we have not required or requested CertiFit to take any rate increase since the inception of the current service contract.

(CX7-0580)

CF PFF 52. Evergreen did not release the vast majority of the space requested by CertiFit because it could make significantly more money by releasing CertiFit’s negotiated space to shippers paying exorbitant fees on the spot market. This is evident because on at least eleven occasions, CertiFit was forced to engage OEC Shipping Los Angeles, Inc. (“OEC”), an NVOCC, to ship its cargo which ended up being transported by Evergreen’s vessels. (CX7-0559-0579)

CF PFF 53. Due to CertiFit having to engage OEC to ship containers that should have been transported by Evergreen pursuant to the 2020 Service Contract, CertiFit was forced to pay the difference in rates, which amounted to \$84,800.00. (CX7-0559-0579; CX1; CX8)

CF PFF 54. On January 8, 2021, CertiFit received an email from Evergreen (Cynthia Fees) with the subject line “Service Contract Amendment E-Signature A/C: CertiFit Inc. SC82616-1” which proposed an amendment to the 2020 Service Contract (the “Amendment”). (CX7-0581; CX5-0491)

CF PFF 55. Evergreen represented to CertiFit that the need for the Amendment was to add the port of Taipei; however, the Amendment also reduced the parties’ agreed upon MQC of 1,000 TEUs to 25 TEUs. (CX5-0492)

CF PFF 56. CertiFit never requested the Amendment adding Taipei as a port and, likewise, never requested a reduction in its quantity commitment as “CertiFit would not have committed to use Evergreen to ship 1000 TEUs if that amount was not needed.” (CX7-0583)

CF PFF 57. Moreover, the port of Taipei was not included in the 2020 Service Contract because CertiFit (and its suppliers) cannot ship from Taipei. (Feb. 11, 2021 spreadsheet entry, CX13-0820; CX4-0486)

CF PFF 58. On January 9, 2021, Miranda Ostler (CertiFit) contacts Kenneth Wu requesting an update on space being released by Evergreen as none had been released for the entire month. (CX7-0585)

CF PFF 59. Three days later, January 12, 2021, Mr. Wu states “[w]e are working on space release at this time, and believe there should be some bkgs [bookings] from Kaohsiung. Will keep pushing and hope for [a] better result.” *Id.*

CF PFF 60. On January 13, 2021, Mr. Wu emails CertiFit again requesting Miranda “please help push Don or Vyron to confirm our amendment to have TPE [Taipei] port in our SC [service contract] for those other bookings.” (CX7-0587)

CF PFF 61. At 1:34 p.m. on January 14, 2021, Mr. Wu emails Donnell (CertiFit), stating “Please help confirm for filing for below amendment to add Taipei port in our service contract.” (CX7-0581).

CF PFF 62. At 2:05 p.m., Mr. Wu emails Miranda, stating “All bookings held up at this time due to the contract has yet to be confirmed and filed to add Taipei. Please push Donnell or Vyron to do so soonest [sic].” (CX7-0586)

CF PFF 63. In other words, Evergreen explicitly stated that it was holding CertiFit’s bookings until it agreed to execute the unsolicited Amendment, which solely benefitted Evergreen because it would reduce the MQC to 25 TEUs. *Id.*

CF PFF 64. CertiFit specifically requested the ports included in the 2020 Service Contract because those were the locations that were used by its suppliers. Because CertiFit could not ship its cargo from the port in Taipei, Evergreen was solely attempting to reduce the MQC the parties had agreed upon. (Compl. ¶¶ 24, 35; Feb. 11, 2021 spreadsheet entry, CX13-0820; CX4-0486)

CF PFF 65. After receiving confirmation that Evergreen was in fact refusing CertiFit’s booking request, CertiFit sent a third and final demand letter to Evergreen on April 19, 2021, which outlined the number of containers shipped over the term of the 2020 Service Contract. (CX7-0582-0584)

CF PFF 66. Evergreen shipped 157 of the 445 containers committed to, which equates to 353.25 TEU of the 1,000 TEUs that were agreed upon. *Id. See also* CX13-0816-0821; CX9.

CF PFF 67. As a result of Evergreen’s unreasonable conduct throughout the term of the 2020 Service Contract, CertiFit was required to obtain carriage from other carriers including

OOCL, Laufer Group International, and OEC. (Compl. ¶ 40, CX6-0510; *see generally*, CX1-CX3, CX8)

CF PFF 68. Evergreen violated the Shipping Act by refusing to deal or negotiate with CertiFit, as evidenced by its failure to provide contracted space, failing to accept tendered cargo, failure to provide necessary information concerning booking issues, and engaging in a scheme to withhold service, (Compl. ¶ 38, CX6-0510; CF PFF Nos. 30-60, *supra*)

CF PFF 69. Evergreen violated the Shipping Act by charging rates not in accordance with those outlined in the 2020 Service Contract by demanding surcharges in excess of those agreed upon and then attempting to conceal its conduct by levying a general rate increase which was expressly included in the rates provided in the 2020 Service Contract. (Compl. ¶ 11; CX6-0505; CX4-0487; CF PFF Nos. 42-45, *supra*)

CF PFF 70. Evergreen violated the Shipping Act by unjustly engaging in a discriminatory practice with respect to the ports agreed upon in the 2020 Service Contract by withholding space from CertiFit and not accepting additional booking requests until CertiFit executed the Amendment. (Compl. ¶¶ 24, 35; CX6-0508-0510; CX4-0486; CF PFF Nos. 54-62, *supra*)

CF PFF 71. Evergreen's continuous and systematic practice of withholding contracted-for space to take advantage of higher prices being paid on the spot market is a violation of the Shipping Act. (Compl. ¶¶ 9-11; CX6-0505; CX13-0816-0821)

CF PFF 72. Those violations seriously damaged CertiFit and caused it to sustain actual injury. (CX8; CX1-CX3)

CF PFF 73. CertiFit is entitled to an order directing Evergreen to pay CertiFit's reparations for its actual injuries sustained. 46 U.S.C. § 41305(b).

CF PFF 74. CertiFit's damages have been calculated by comparing the difference in shipping rates between the rates provided by Evergreen pursuant to the 2020 Service Contract, and the rates provided by the other carriers that CertiFit was forced to use due to Evergreen's unreasonable conduct and practices. (CX8; CX1-CX3)

CF PFF 75. CertiFit's cargo end destination was either Memphis, Tennessee or Salt Lake City, Utah. (CX4-0486)

CF PFF 76. The ocean freight rate contained in the 2020 Service Contract was \$3,950 to Salt Lake City, and \$3,900 to Memphis. These rates were the same irrespective of the port CertiFit's cargo was shipped from as identified in the 2020 Service Contract. *Id.*

CF PFF 77. CertiFit agreed to ship and Evergreen agreed to transport 445 40' high cube containers during the duration of the 2020 Service Contract. (CX4-0481; CX13-0798-0799)

CF PFF 78. Due to Evergreen's violations of the Shipping Act, CertiFit was required to obtain alternate means to transport its cargo. (Compl. ¶¶ 9-10; CX1, CX2)

CF PFF 79. For example, OEC arranged transportation of CertiFit's cargo from 11/29/20 – 12/03/20 with a freight rate of either \$5,700 or \$6,200 per container depending on the destination. (CX7-0559-0579; CX1)

CF PFF 80. Due to the differential shipping rate, CertiFit incurred increased expenses totaling \$84,800.00. (CX8-0589; CX1)

CF PFF 81. For the 2020 shipping year, CertiFit also had a shipping contract with OOCL. Because CertiFit had already reached its MQC with OOCL by March 1, 2021, OOCL offered to accept additional containers tendered by CertiFit so long as it paid a rate increase of \$2,100 per container. (CX3)

CF PFF 82. Because of Evergreen’s violations of the Shipping Act, CertiFit was required to pay the increased rate offered by OOCL—through the term of the 2020 Shipping Contract, April 30, 2021—which resulted in increased expenses totaling \$127,222.00. (CX8-0590-0591; CX3)

CF PFF 83. Because of Evergreen’s violations of the Shipping Act, CertiFit was required to obtain transportation of its cargo by Laufer Group International (“Laufer”), which resulted in it having to pay freight rates in excess of those outlined in the 2020 Service Contract. This resulted in CertiFit incurring increased expenses totaling \$117,787.00. (CX8-0589-0590; CX2)

CF PFF 84. CertiFit’s total damages as a result of Evergreen’s violations of the Shipping Act amount to \$329,809.00. (CX8)

III. LEGAL ARGUMENT

A. Evergreen’s Violations of the Shipping Act, as alleged in CertiFit’s Complaint, Support Reparations against Evergreen.

CertiFit’s Complaint asserts that Evergreen violated the Shipping Act which resulted in five causes of action being alleged: (1) Evergreen’s failure to establish, observe, and enforce just and reasonable practices related to receiving, handling, storing, and delivering CertiFit’s property, in violation of 46 U.S.C. § 41102(c); (2) Evergreen providing service in the liner trade that is not in accordance with the rules and practices contained in the parties’ service contract, in violation of 46 U.S.C. § 41102(a)(2); (3) Evergreen’s unfair and unduly discriminatory practices towards CertiFit in the manner of rates or charges with respect to the ports for which CertiFit contracted with Evergreen, in violation of 46 U.S.C. § 41104(a)(5); (4) Evergreen’s unreasonable preference and advantage to shippers other than CertiFit imposing undue and unreasonable prejudice and disadvantage with respect to the ports for which CertiFit contracted with Evergreen, in violation

of 46 U.S.C. § 41104(a)(9); and Evergreen’s refusal to deal and negotiate with CertiFit, in violation of 46 U.S.C. § 41104(a)(10). (CX6-0504-0512) As set forth below, Evergreen’s conduct resulted in CertiFit incurring increased expenses which it now seeks to recover as reparations.

1. CertiFit’s Burden of Proof under the Shipping Act

As the complainant alleging violations of the Act, CertiFit bears the burden of persuading the Presiding Judge of the Commission, by a preponderance of the evidence, that its allegations are more probable than not. *See* 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); *Crocus Inv., LLC v. Marine Transp. Logistics*, FMC Docket No. 15-04, 2021 WL 3732849, at * 3 (FMC Aug. 18, 2021). And while the Commission may not base its findings on mere speculation, “[i]t is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient.” *Waterman S.S. Corp. v. Gen. Foundries, Inc.*, FMC Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994). Unlike court trials, “administrative adjudications generally are governed by liberal evidentiary rules that create a strong presumption in favor of admitting questionable or challenged evidence.” *Eurousa Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc. – Possible Violations of Section 10 of the Shipping Act of 1984 and the Commission’s Regulations at 46 C.F.R § 515.27*, Order on Appeal of Administrative Law Judge’s Grant of Summary Judgment, FMC Docket No. 06-06, 11-12 (citing Ernest Hellhorn & Ronald M. Levin, *Administrative Law and Process* 255 (4th ed. 1997)).

2. Evergreen is Subject to the FMC’s Jurisdiction

The Shipping Act provides, *inter alia*, that a “person may file with the...Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). In accordance with this

provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 28 S.R.R. 1635, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000). For purposes of 46 U.S.C. §§ 41102(c), 41104(a)(2)(A), 41104(a)(5), 41104(a)(9), and 41104(a)(10), the Commission has jurisdiction over Evergreen because it is an ocean common carrier—*i.e.*, a “vessel-operating common carrier.” 46 U.S.C. § 40102(18); 46 U.S.C. §§ 515.2(e), (l) (defining an ocean common carrier as “common carrier that operates, for all or part of its common carrier service, a vessel on the high seas or the Great Lakes between a port in the United States and a port in a foreign country, except that the term does not include a common carrier engaged in ocean transportation by ferry boat, ocean tramp, or chemical parcel-tanker.”).

To establish Evergreen is a vessel-operating common carrier, CertiFit must first demonstrate (1) it holds itself out to the general public as providing transportation by water for passengers or cargo between the United States and a foreign country; (2) it assumed responsibility for transporting the passengers or cargo from the port or point of receipt to the port of destination; and (3) use, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a United States port and a foreign port. *See* 46 U.S.C. §§ 40102(7), (18); 46 C.F.R. § 515.2; *see also, Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Docket No. 96-05, Report and Order Adopting Initial Decision in Part and Vacating Initial Decision in Part, at 131 (FMC June 1, 2001) (noting that no single factor determines common carrier status). In analyzing the traits establishing an entity as a common carrier, the Commission “considers the totality of [the] circumstances and their ‘combined effect’” but this inquiry looks “beyond documentary labels and delves into respondent’s conduct regarding [the] shipments at issue...” *Worldwide Relocations — Possible Violations of the Shipping Act*, FMC Docket No. 06-01, Order Approving

Initial Decision in Part, Reversing in Part, and Modifying in Part, at 10 (FMC Mar. 15, 2012). Indeed, while the “Commission’s inquiry is fact-driven, it nevertheless relies on ‘reasonable evidentiary inferences’” such as “[e]vidence of a person’s habit or an organization’s routine practice...to prove that on a particular occasion the person or organization acted in accordance with the habit or routine practice.” *CMI Distribution, Inc. v. Service By Air, Inc., Radiant Customs Service, Inc. (Formerly Known as SBA Consolidators, Inc.), and LAS Freight Systems Ltd.*, FMC Docket No. 17-05, 3 F.M.C. 2d, 83, 88 (FMC July 26, 2021) (citing Fed. R. Evid. 406). As discussed below, Evergreen operated as a vessel-operating common carrier during the time frame at issue—August 28, 2020 through April 30, 2021.

i. Holding Out

Several pieces of evidence support the Commission finding that Evergreen held “itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation.” 46 U.S.C. § 40102(7)(A)(i); 46 C.F.R. § 515.2(e). In the case at hand, it is clear that Evergreen’s conduct meets the first element.

First, there is no dispute that Evergreen held itself out to the general public as a transporter of cargo. Evergreen Shipping Agency (America) Corp.’s website² provides a “Do Business” menu listing sailing schedules, links to book shipments via email or its website, and cargo tracking, among other information. In fact, as explained below, Evergreen negotiated its contract rates and terms with CertiFit directly, executed and filed the 2020 Shipping Contract, and provided superficial responses to CertiFit’s repeated concerns as the term of the 2020-2021 shipping year progressed. *See* CF PFF Nos. 14-27, 32-38, 47-51, 62.

² *See* <https://www.evergreen-shipping.us> (last visited on Nov. 27, 2023); *see also CMI Distribution, Inc.*, 3 F.M.C. at 90 n.7 (noting, pursuant to 46 C.F.R. § 502.226(a), the Commission may take “official notice of information...publiciz[ed] on its [a company’s] corporate website.”).

Second, On April 2, 2020, a representative from CertiFit emailed Evergreen with the subject line “Container Contract for 2020” outlining its interest in “contracting about 750 containers from all ports in Taiwan.” (CX7-0534); *see also, Rose Int’l, Inc.* at 131 (FMC June 1, 2001) (noting “[t]he *most essential factor* is whether the carrier holds itself out to accept cargo from whoever offers to the extent of its ability to carry, and the *other relevant factors* include the variety and type of cargo carried, number of shippers, type of solicitation utilized, regularity of service and port coverage, responsibility of the carrier towards the cargo, issuance of bills of lading or other standardized contracts of carriage, and the method of establishing and charging rates” and defining “‘holding out’ as a willingness to accept cargo from whoever offers it subject to carrying capacity but does not require the carrier to broadcast that it will accept any commodity from all shippers.”) (emphasis added). Later that day, Evergreen’s employee, Kenneth Wu, responded to CertiFit’s email, stating, in relevant part, “If I recall correctly, Evergreen was the core carrier for your Memphis cargo and backup carrier for Salt Lake City. Since it has been over a year of doing business, please kindly advise if there are any further destinations [and] I will check with my Pricing.” (CX7-0535-0536). As promised, on April 10, 2020, Mr. Wu emails CertiFit with an “all-in rate” with space support of “roughly 10x40’HQ/week,” origination ports in Taiwan consisting of Kaohsiung, Taichung, and Keelung, and ocean freight rates of \$3,950 to Salt Lake City and \$3,900 to Memphis. (CX7-0538); *see also, CMI Distribution, Inc.*, 3 F.M.C. 2d at 88-89 (noting the Commission “determines whether a carrier was ‘holding out’ its services based on the carrier’s words and actions” and concluding the respondent held itself out to CMI as providing international ocean transportation based on it offering to provide transportation, quoting freight rates, and invoicing CMI for ocean freight and import duties and detention.). On April 27, 2020, Mr. Wu emailed CertiFit regarding the need for confirmation of the 2020 Service Contract, stating “...you

may simply reply with ‘confirm for filing’...Once received, we will file and provide the SC# for booking purposes.” (CX7-0540). As requested, CertiFit “confirmed for filing” on April 28, 2020, and Mr. Wu instructs an Evergreen employee to “assist with filing with EGA [Evergreen America] NYC” on the same day and the shipping contract number is provided to CertiFit on April 29, 2020. (CX7-0541; CX7-0542).

Third, Evergreen was directly involved in responding to CertiFit’s demand letters, its requests for contracted space and, ultimately, the decision to hold all CertiFit’s bookings hostage until it agreed to a nonsensical contract Amendment (proposed by Evergreen without any prior request from CertiFit) reducing its minimum quantity commitment from 1,000 TEUs to 25 TEUs. (*Compare CX4-0481 with CX5-0492*). Based on Evergreen’s undisputed words and actions, the first element is met.

ii. Assumption of Responsibility

The second element CertiFit must establish is that Evergreen “assume[d] responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. § 40102(7)(A)(ii); 46 C.F.R. §§ 515.2(e), (l).

Here, the evidence supporting Evergreen assuming responsibility for the transportation of CertiFit’s cargo from the port of receipt to the port of destination. (CX4-0486). Evergreen demonstrated its ability to cancel and book shipments requested by CertiFit, which necessarily involved choosing the vessels used to transport the accepted cargo consistent with sailing schedules established by Evergreen.

iii. Use of a Vessel on the High Seas

The final element CertiFit must prove is Evergreen’s “use, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a United States port

and a foreign port.” 46 U.S.C. § 40102(7)(A)(iii); 46 U.S.C § 40102(18) (requiring the common carrier to be vessel operating). The Commission has stated, “the intention of the shipper as to the ultimate destination at the time the cargo starts is the test of its character, though broken, transported by more than one carrier, or moving on through or local bills of lading.” *Matson Navigation Co., Inc.—Transport. of Cargoes Between Ports and Points Outside Haw. and Islands Within the St. of Haw.*, 24 S.R.R. 979, 988 (1988) (quoting *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 440 (1935)); *see also* CX4-0486 (identifying origin and destination ports between Taiwan and the United States).

Between August 28, 2020 and April 30, 2021³, Evergreen shipped 157 of the 445 containers requested by CertiFit. (CX13-0816-0821; CX9). As evidenced by the terms contained in the 2020 Service Contract, CertiFit agreed to ship—and Evergreen agreed to transport—1,000 TEUs during the term of the Contract. (CX4-0481). In negotiating the 2020 Service Contract, CertiFit identified that it was seeking a quote for a shipping contract to transport its cargo from “all ports in Taiwan” to either Salt Lake City or Memphis. (CX7-0535). Absent Evergreen’s unreasonable practices and conduct, there is no dispute that Evergreen would have used a vessel operating on the high seas to perform the transportation from Taiwan to the United States and, as such, “the factor of international transportation by water is established.” *See e.g., Crocus Investments, LLC and Crocus, FZE v. Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group Inc.*, FMC Docket No. 15-04, 2 F.M.C. 2d 213, 230 (FMC Dec. 9, 2020) (reasoning that the intent of the parties related to prospective shipments, *i.e.*, where the cargo was to be transported, is relevant to determining whether international transportation by water would be utilized despite the destination port ultimately being changed).

³ Although Evergreen’s conduct throughout the 2020-2021 shipping year is at issue, CertiFit’s damages are limited to this period.

CertiFit has established that Evergreen is a common carrier, but has alleged that Evergreen is an “ocean common carrier” which requires demonstrating that Evergreen is “a common carrier that operates, for all or part of its common carrier service, a vessel on the high seas or the Great Lakes between a port in the United States and a port in a foreign country, except that the term does not include a common carrier engaged in ocean transportation by ferry boat, ocean tramp, or chemical parcel-tanker.” 46 C.F.R. § 520.2. As evidenced by Evergreen’s communications to CertiFit, it had the ability to cancel bookings, confirm space support, levy rate increases, and generally direct the movement of CertiFit’s tendered cargo. *See generally*, Proposed Findings of Fact. Similarly, it is undisputed that when Evergreen did carry CertiFit’s cargo, it was carried by a vessel operated by Evergreen between Taiwan and the United States. (CX4-0486; CX9-0561). Based on Evergreen’s broad authority to perform the aforementioned aspects of related to transport of cargo, CertiFit has established that it Evergreen was acting as a regulated entity—an ocean common carrier.

iv. Alternatively, Evergreen, as agent of its disclosed principal, Evergreen Line Joint Service Agreement, manifested its intent to be bound and/or acted outside the scope of its authority which supports liability under the Shipping Act.⁴

CertiFit’s Complaint alleges that “Evergreen Shipping Agency (America) Corp. is a disclosed agent for the Evergreen Group and its constituent corporations [and]...is a vessel-operating ‘ocean common carrier’ as that term is defined by 46 U.S.C. § 40102(9).”⁵ (Compl. ¶¶ 13; CX6-0506). Evergreen has denied this allegation and, as an affirmative defense, stated that “Respondent acted as an agent of a disclosed principal.” (Answer ¶¶ 2, 26; CX6-0516, 0520). And

⁴ If permitted, CertiFit would amend its complaint adding Evergreen Line Joint Service Agreement as a respondent.

⁵ 46 U.S.C. § 40102(9) defines “Controlled Carrier” which is not at issue; the applicable section is 46 U.S.C. §§ 40102(7), (18) (defining “common carrier” and “ocean common carrier”).

while CertiFit stands by its allegation and arguments that Evergreen acted as an ocean common carrier, *see* Section III A(i)-(iii), *supra*, it is likely that Evergreen will dispute liability based on its agent-principal relationship. To the extent that this argument is asserted, CertiFit’s argument in the alternative is that Evergreen—as an agent of a disclosed principal (Evergreen Line Joint Service Agreement)—would remain liable in place of the principal due to Evergreen manifesting its intention to bind itself instead of, or in addition to, its principal and/or exceeding the scope of its authority.

In a typical agency relationship “an agent who enters into a contract with a third party on behalf of a disclosed principal ‘is not a party to the contract unless the agent and the third party agree otherwise.’” *Man Diesel A/S v. Seahawk N. Am. LLC*, 2009 WL 3030220, at *2 (S.D.N.Y. Sept. 22, 2009) (citing Restatement (Third) of Agency § 6.01 (2006)). As a result, “an agent for a disclosed principal is not liable to the third party in the event the principal breaches the contract.” *Fireman's Fund McGee Marine v. M/V Caroline*, 2004 WL 287663, at *2 (S.D.N.Y. Feb. 11, 2004). Despite this general rule of non-liability, an agent of a disclosed principal may be liable on a contract in place of the principal in three instances: (1) it acted outside the scope of its agency, (2) it acted fraudulently, or (3) it clearly manifested its intention to bind itself instead of, or in addition to, its principal. *Ariel Mar. Grp., Inc. v. Züst Bachmeier of Switzerland, Inc.*, 762 F. Supp. 55, 60 (S.D.N.Y. 1991) (citations omitted).

Although the “the exclusive remedy for a breach of a service contract is an appropriate court, not the FMC,”⁶ the context provided by the 2020 Service Contract—and Evergreen’s conduct leading to the execution of the same—help demonstrate that Evergreen clearly manifested

⁶ Ocean Shipping Reform Act of 1998, Pub. L. No. 105-258 (“OSRA”).

its intention to bind itself instead of, or in addition to, its principal Evergreen Line Joint Services Agreement (“JSA”) or, alternatively, acted outside the scope of its authority.

First, the violations alleged by CertiFit all center on Evergreen’s actions, not JSA. To be sure, Evergreen was the entity that negotiated the 2020 Service Contract, executed it, and filed it with the Commission. (CX7-0539, CX7-0541). CertiFit did not have any interactions with JSA, and it is Evergreen’s conduct that CertiFit contends violated the Shipping Act as an ocean common carrier.

Second, Evergreen’s unilateral decision to hold CertiFit’s bookings until it signed the Amendment—which CertiFit never requested—demonstrates that Evergreen was acting beyond the scope of its agency which, according to its website, is limited to “[p]roviding customer service, sales, marketing, logistics and administrative support.”⁷ Evergreen negotiated the parties’ respective commitments for the 2020-2021 shipping year, and Evergreen’s unreasonable practices and refusals to deal or negotiate with CertiFit over the course of the term resulted in it being damaged. *See generally*, CX8.

Third, and as repeatedly noted in the three demand letters that were sent to Evergreen, it continually requested surcharges of \$1,000 per container above the contracted rate to ship CertiFit’s cargo. On November 24, 2020, John Bennett, an employee of Evergreen, clearly stated that Evergreen has “not required or requested CertiFit to take any rate increase since the inception of the current service contract.” (CX7-0580). But this is inaccurate. Evergreen levied a general rate increase, effective November 15, 2020, despite the 2020 Service Contract stating that it was already included in the “all-in rate” provided by Evergreen’s, Kenneth Wu. (*Compare* CX7-0538

⁷ <https://www.evergreen-shipping.us/egsweb/company.html> (last visited on Nov. 29, 2023).

with CX7-0556). Evergreen's action in this instance demonstrates that it was acting outside of its authority.

Fourth, each Bill of Lading received by CertiFit from Evergreen states in bold lettering at the top "EVERGREEN LINE", and immediately below that, in much smaller, non-bold type, "A Joint Service Agreement." Evergreen very clearly identifies itself on every Bill of Lading form it produces as "Evergreen Line, A Joint Service Agreement," the precise name it uses to identify itself in its Service Contract form, and the Service Contract at issue here, signed by both parties. Additionally, at the bottom of each Bill of Lading, the signature block for Evergreen is three lines long. The first line states in bold type, "EVERGREEN INTERNATIONAL CORPORATION," which is not an entity not identified in the Service Contract, but is identified in the second line of the signature block as Agent for whichever of the JSA's six component Limited Corporations was responsible for the shipment of the goods listed in that Bill of Lading, but all doing business as "Evergreen Line." For example, Bill of Lading, Document No. 0801 states Evergreen International Corporation signed, "As agent for the Carrier and the Vessel Provider Evergreen Marine (UK) Limited, doing business as "Evergreen Line." (CF00489). But Bill of Lading, Document No. 0468 states Evergreen International Corporation signed, "As agent for the Carrier and the Vessel Provider Evergreen Marine Corp. (Taiwan) Ltd, doing business as "Evergreen Line."

However, JSA seeks to organize or contort itself, regardless of which of its many names and component corporations listed in the Service Agreement actually carries a particular shipment, and regardless of the number of Agents used to sign on behalf of JSA's components, ultimately this web of components and agents directly connects back to JSA, binding it to honor the Service Agreement and ship under those terms. JSA itself is incapable of shipping anything, its obligations

under the Service Contract were to be wholly carried out by its completely inseparable, fully controlled component corporations and agents. If the strings of JSA's puppet components were cut, JSA would immediately be out of business, so it stretches credulity past the breaking point to argue that JSA, which is the entity holding Evergreen Line's FMC#011092, is free from fault for violation of the Service Contract signed by any of its components or agents.

Lastly, it was Evergreen's representations—not JSA's—that adding the port of Taipei was necessary for CertiFit's bookings to be accepted; however, this representation was a ruse to reduce the minimum quantity commitment Evergreen agreed to. Whether this was approved by JSA or not, this underhanded effort would certainly fall outside the scope of Evergreen's express authority and, by pushing the proposed amendment on CertiFit, Evergreen demonstrated that it intended to bind itself and, likewise, acted outside the scope of its authority.

Based on the foregoing, the Commission should find that Evergreen acted outside the scope of its authority and manifested an intent to bind itself instead of, or in addition to, its principal—JSA, which results in it bearing liability for violations of the Shipping Act.

B. Violation of 46 U.S.C. § 41104(a)(2)

The relevant portion of Section 41104(a)(2)(A) of Title 46 states “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not...provide service in the liner trade that is...not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract,...unless excepted or exempted...” 46 U.S.C. § 41104(a)(2)(A).

As discussed, Evergreen is a common carrier. As outlined in two of the demand letters sent to Evergreen during the term of the 2020 Service Contract, Evergreen would often refuse to accept containers tendered by CertiFit or its suppliers unless a \$1,000 surcharge was paid. (CX7-0543,

CX7-0558). Although Evergreen’s mid-contract ultimatum(s) for payment above the contracted rates are not documented, CertiFit has provided evidence supporting the Commission’s ability “to draw inferences from certain facts when direct evidence is not available...” *Waterman S.S. Corp.*, 26 S.R.R. at 1180. Here, the inference to be drawn is that Evergreen violated the Shipping Act by providing service in the liner trader that is “not in accordance with the rates, charges, classifications, rules, and practices contained in a...service contract” by applying a general rate increase (“GRI”) which was not authorized under the terms of the 2020 Service Contract. 46 U.S.C. § 41104(a)(2)(A); *see also*, Note 1I, CX4-0487.

First, in response to CertiFit’s August 13, 2020 demand letter—which asserts that Evergreen refused to accept tendered containers, instead, “demanding significant additional surcharges...in excess of US\$1,000 per container [were paid]—Evergreen’s representative, John Bennett, acknowledged that “market rate has significantly increased over the last few months,” but “[Evergreen is] not asking CertiFit to increase the contracted rate.” (*Compare* CX7-0543-0544, *with* CX7-0545, CF03164) (emphasis added). Put differently, Mr. Bennett’s tacit admission indicates that Evergreen understood it was leaving (significant) money on the table if it provided space to its client based on negotiated rates; the better business decision was to cancel CertiFit’s bookings and selling the conveniently vacated space at top dollar on the spot market. *See e.g.*, *Foreign Tire Sales, Inc. v. Evergreen Shipping Agency (America) Corp; as agent for Evergreen Line, Evergreen Group d/b/a Evergreen Line*, FMC Docket No. 22-05, Docket Entry 1, Complaint, ¶ 10 (alleging Evergreen “create[d] the appearance of a lack of space in their ships, continued to deny shippers such as FTS [Foreign Tire Sales] promised space on their ships, [and] continued to give the space to NVOs at inflated prices or forcing shippers such as FTS to obtain shipping on

the spot market.”)⁸; *see also*, CX10; CX113-0816-0821). Likewise, CertiFit’s second demand letter—a mere three months after the first—alleged the same conduct was taking place: “Evergreen obviously has capacity to ship the containers, because Evergreen will accept CertiFit’s tendered containers if CertiFit pays a very substantial surcharge for each container, more than US\$1,000 per container, pushing the per-container shipping cost high above the amounts mutually accepted in the [2020] Agreement.” (CX7-0558-0559). Both Foreign Tire Sale’s and CertiFit’s allegations are well founded. To be sure, CertiFit experienced several occasions in which Evergreen cancelled its bookings and/or claimed lack of space, yet CertiFit’s containers arrived on an Evergreen vessel. (CX7-0559-0579). CertiFit could obtain the ephemeral space it contracted for by simply paying an increased rate to a freight forwarder (or carrier) who purchased space on the spot market. *See e.g.*, CX7-0546-0554; CX7-0560-0579. In fact, CertiFit began this unfortunate process the same day it sent the first demand letter to Evergreen on August 13, 2020. *See* CX7-0546 (8/13/20 email correspondence requesting confirmation of Laufer transporting 48 containers over a two-month period).

Second, CertiFit’s allegations of repeated requests for payment of surcharges in excess of the negotiated rates were confirmed by Evergreen’s emailed notice regarding “Rule: 035 General Rates Increase.” (CX7-0531). On October 14, 2020, Evergreen emailed its “Valued Customer” (CertiFit) advising it that Evergreen was applying a general rate increase of \$1,000 USD for shipments of forty-foot-high cube containers. *See id.* Setting aside the coincidental timing and amount of the rate increase, which Mr. Bennett had previously denied Evergreen asked for, the GRI is at odds with the 2020 Service Contract. For instance, Mr. Wu’s April 10th email

⁸ Foreign Tire Services, Inc.’s complaint was filed on 3/18/22 and it moved the Commission to dismiss the same and approve a settlement agreement with Evergreen on 4/26/22. *See* Docket Entry Nos. 1, 9 (FMC Docket No. 22-05); *see also*, Docket Entry No. 10 (Initial Decision Approving Settlement).

correspondence to CertiFit, which provided the requested quote for a 2020 shipping contract, expressly states that the referenced rates include general rate increase. (CX7-0538). And Mr. Wu's representation to CertiFit was consistent with the terms of the 2020 Service Contract, which also states that "General Rate Increase (GRI) is included in all rates." (CX4-0487). Connecting the dots, it is readily apparent that Evergreen attempted to conceal its requests for rates above those that were negotiated by applying the GRI, yet the terms of the 2020 Service Contract demonstrate that Evergreen was not entitled to levy the rate increase. *See id.* In other words, Evergreen's actions were "not in accordance with the rates, charges, classifications, rules, and practices contained in...[the] service contract" in violation of Section 41104(a)(2)(A) of the Act. As a result of the unjust increase, CertiFit was required to pay an additional \$1,000 USD per container that was shipped after the effective date of the GRI—November 15, 2020—and it seeks reparations for its damages as described in Section G, *infra*.

C. Violation of 46 U.S.C. § 41104(a)(5)

Section 41104(a)(5) of Title 46 prohibits "a common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not...for service pursuant to a service contract, engage in any unfair or unjustly discriminatory practice against any commodity group or type of shipment or in the matter of rates or charges with respect to any port." 46 U.S.C. § 41104(a)(5). As guidance, the Commission has cited the Senate Report accompanying the Ocean Shipping Reform Act of 1997, which outlines the contours of this prohibition to include prohibited actions targeting a locality or a "clear pattern of service contracting by a common carrier that imposes an unreasonable disadvantage on all shipments from a specific nation or region of a nation, including the United States." *OJC Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG and Hamburg Sud North America, Inc.*, FMC Docket No. 21-11, Order on Respondents' Motions to Partially Dismiss and for a Protective Order and Complainant's

Motion for Expedited Relief (ALJ Aug. 31, 2022) (citing S. Rep. 61, 105th Cong., 1st Sess., p. 28 (1997)).

As outlined above, Evergreen is a common carrier. *See*, Section III(A)(2), *supra*. In its Complaint, CertiFit outlined the port pairs which the parties agreed to in the 2020 Service Contract, and further emphasized its efforts to inform “Respondent of its needs concerning *cargo to be shipped from the ports identified* in the 2020 Service Contract.” (Compl., ¶¶ 24, 35; CX6-0508, 0510; CX4-0486) (emphasis added). Despite Evergreen’s commitment to the ports identified in the 2020 Service Contract—which did not include Taipei—Evergreen unjustly engaged in a discriminatory practice by selectively pushing a contract amendment to add Taipei as a port while excluding CertiFit’s and its suppliers’ shipments from the ports agreed upon in the 2020 Service Contract. *See id.*; *see also* CX7-0587-0588. As a result, Evergreen violated Section 41104(a)(9) of the Shipping Act.

D. Violation of 46 U.S.C. § 41104(a)(9)

For services provided pursuant to a service contract, a common carrier violates 46 U.S.C. § 41104(a)(9) if it “give[s] any undue or unreasonable preference or advantage or impose[s] any undue or unreasonable prejudice or disadvantage with respect to any port.”

Here, the evidence proves that Evergreen is a common carrier that withheld vessel space unless CertiFit agreed to execute the Amendment (which added Taipei, Taiwan as an additional port. *See*, CX7-0581 (Email from C. Fees, Evergreen, to Vyron and Donell Ostler, CertiFit, (Jan. 8, 2021, 7:39 a.m.) (subject line “Service Contract Amendment E-Signature A/C: Certifit Inc. SC82616-1” and providing the proposed amendment); CX7-0581 (Email from K. Wu, Evergreen, to Donnell Ostler, CertiFit, (Jan. 14, 2021, 1:34 p.m.) (requesting the proposed amendment to add Taipei be confirmed for filing by CertiFit) ; *see also*, CX7-0586 (Email from K. Wu, Evergreen,

to Miranda, Donnell, and Vyron Ostler, CertiFit, (Jan. 14, 2021, 2:05 p.m.) (stating “*All bookings held up at this time due to the contract has yet to be confirmed and filed to add Taipei*. Please push Donnell or Vyron to do so soonest [sic].”) (emphasis added). And while it is true that adding the port of Taipei appears to be a benign request on behalf of Evergreen, the unsolicited Amendment also reduced Evergreen’s minimum quantity commitment from 1,000 TEUs to a paltry 25 TEUs for the remainder of the term. (CX5-0492). CertiFit never requested the reduction in its minimum commitment “because it needed that amount of cargo to be shipped...[and it] would not have committed to use Evergreen to ship 1000 TEUs if that amount was not needed.” (CX7-0583).

Evergreen’s decision to withhold CertiFit’s bookings until it agreed to add the port of Taipei constitutes an unreasonable preference because it conditioned the acceptance of CertiFit’s future bookings with Evergreen on the port being added. Likewise, the Amendment proposed by Evergreen imposed an undue or unreasonable prejudice to CertiFit because it was unable to book shipments until it agreed to Amendment adding Taipei, yet the Amendment reduced the agreed upon minimum quantity commitment to just 25 TEUs. As a result, CertiFit was forced to obtain transportation services from other carriers which, as explained below, resulted in significant damages to CertiFit based on the difference in shipping rates between those contained in the 2020 Service Contract and the rates paid to find alternative carriers. *See*, CX8 (damage totals).

E. Violation of 46 U.S.C. § 41104(a)(10)

As alleged in the Complaint, CertiFit’s attempts to negotiate carriage with Evergreen—despite already having a service contract covering the period at issue—was met with unreasonable refusals to deal or negotiate in violation of the Shipping Act. *See generally*, Compl., CX6-0502-CX6-0513. Section 41104(a)(10) of Title 46 provides “[a] common carrier, either alone or in

conjunction with any other person, directly or indirectly, shall not...unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations by an ocean common carrier.”⁹

To satisfy its burden under this Section, a “a complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable.” *OJC Commerce*, 2023 WL 3969857, at *46 (ALJ June 7, 2023). And while the reasonableness of a carrier’s actions is determined on a case-by-case basis, the Commission has found that a common carrier must avoid shutting out any person or party for reasons not connected to legitimate transportation-related factors. *See FMC Docket No. 22-24, Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier* (citing *New Orleans Stevedoring Co. v. Bd. Of Commissioners of the Port of New Orleans*, 29 S.R.R. 1066, 1070 (F.M.C. 2002), *aff’d mem.* 30 S.R.R. 261 (D.C. Cir. 2003)).

As discussed below, the facts demonstrate that throughout the term of the 2020 Service Contract, specifically from August 2020 – April 2021, CertiFit repeatedly engaged in good-faith efforts to discuss Evergreen’s refusal to accept its cargo. *See generally*, Demand Letters (CF03160-61; CF03168-69; CF03264-66); Cancelled bookings (CX13-0816-0821); January Emails (CX7-0585-0588). By January 2021, over nine months into the term of the 2020 Service Contract, Evergreen was nowhere near the pace of shipment to meet the agreed upon minimum quantity commitment of 1,000 TEUs, so it presented CertiFit with a take-it-or-leave-it offer in the form of a contract amendment: If CertiFit agrees to the Amendment—which added the port of Taipei—Evergreen will resume accepting its booking requests. (CX7-0586). But the Amendment would

⁹ 46 U.S.C. § 41104(a)(10) was previously section 10(b)(10), and before the Ocean Shipping Reform Act of 1999 (“OSRA”) 1999, section 10(b)(12). *See Canaveral Port Authority – Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, Docket No. 02-02, 29 S.R.R. 1436, 1449, 2003 WL 723336, at *5 n.6 (FMC Feb. 24, 2003).

also force CertiFit to accept a reduced minimum quantity commitment of 25 TEUs for the remainder of the term, which was undoubtedly the true reason for the requested amendment considering Evergreen's systematic cancellation of CertiFit's bookings.

1. Evergreen is a Common Carrier.

As outlined in detail above, Section III(A)(2), *supra*, the totality of the circumstances demonstrate that Evergreen acted as a common carrier at all relevant times in this action. Evergreen (1) held itself out to the general public as providing transportation by water for passengers or cargo between the United States and a foreign country; (2) assum[ed] responsibility for transporting the passengers or cargo from port or point of receipt to the port or point of destination; and (3) use[d], for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a United States port and a foreign port. *See*, 46 U.S.C. § 40102(7); 46 C.F.R. § 515.2(e). Thus, Evergreen is a regulated entity subject to the Shipping Act.

2. Evergreen refused to deal or negotiate regarding its service commitments.

CertiFit's Complaint alleges, *inter alia*, that "Respondent's actions in failing to provide contracted space, failing to accept tendered cargo, failure to provide necessary information concerning booking issues, and engaging in a scheme to withhold service, individually and collectively, amount to an unlawful refusal to deal with Complainant." (Compl., ¶ 38, CX6-0510). And despite "Complainant repeatedly attempt[ing] to discuss these issues with Respondent by calling and sending letters...Respondent either responded negatively or did not respond at all." *See id.* at ¶ 27, CX6-0508. Rather, Evergreen "sought to take advantage of the higher prices [on the spot market] by forcing shippers with service contracts...to resort to spot market purchases." *Id.* at ¶ 9, CX6-0505. In consequence, Evergreen pursued higher rates (and profits)—at the expense of CertiFit's reliance of full-service carriage of its cargo—was the sole reason for Evergreen's

refusals to honor its commitments, as opposed to “lack of available cargo space or as a result of any other circumstances out of Respondent’s control.” *Id.* As a result, and as detailed below, Evergreen violated Section 41104(a)(10) of the Shipping Act, which has caused CertiFit to be damaged.

During the 2020-2021 shipping year, CertiFit experienced the same unreasonable practices it had during the 2018-2019 shipping year: repeated attempts to book space pursuant to the parties’ agreement were met with continual cancellations and/or no space released by Evergreen. (CX12; CX13-0816-0821). Moving forward to the year at issue, with only two weeks left in term of the 2020 Service Contract, Evergreen had only shipped 157 of the 445 containers agreed upon. *See id.* In short, Evergreen’s conduct in withholding contracted space on its vessels provided it with the opportunity to sell that space at a premium. But by January 2021, with approximately four months left in the term of the 2020 Service Contract, Evergreen needed an exit plan considering the repeated demands from CertiFit and the impossibility of shipping the remaining TEUs agreed upon. So, on January 8, 2021, Evergreen forwards an amendment to the 2020 Service Contract contending that the port of Taipei, Taiwan needed to be added. (CX7-0586). Curiously, CertiFit never requested the amendment; rather, the unprompted amendment was consistent with Evergreen’s scheme to withhold service. Indeed, Kenneth Wu expressly states that CertiFit’s bookings were “held up at this time due to the contract has yet to be confirmed and filed to add Taipei,” but CertiFit’s bookings had been systematically cancelled and/or Evergreen would not release the requested space since early July 2020. (CX7-0586; CX12; CX13-0816-0821). Most importantly, and undoubtedly the real reason for springing the amendment on CertiFit, was that it reduced the agreed upon minimum quantity commitment from 1,000 TEUs to just 25 TEUs—a

revision that solely benefitted Evergreen and was entirely inconsistent with CertiFit's commitment to ship 1,000 TEUs. *Compare CX4-0481 with CX5-0492.*

In effect, CertiFit's attempts to engage in good-faith negotiations through January 2021, were unreasonably refused by Evergreen as demonstrated by Mr. Wu's admission that CertiFit's bookings were being held and would only resume if the amendment was executed by CertiFit. By definition, an unsolicited amendment that in no uncertain terms fails to address CertiFit's repeated requests for contracted space, but instead, puts CertiFit in a worse position by lowering the quantity commitment amounts to an unreasonable refusal by Evergreen to deal or negotiate. This is especially true considering that Evergreen's true purpose was attempting to limit its own liability under the 2020 Service Contract¹⁰ under the guise of a need to add the port of Taipei.

3. Evergreen's refusal to deal or negotiate was unreasonable

To determine whether Evergreen's refusal to deal or negotiate was "reasonable," the Commission has stated that "[c]ase law indicates that 'reasonableness'...has historically been interpreted broadly" which has included "decisions that are connected to legitimate business decisions or motivated by legitimate transportation factors." *OJC Commerce*, Docket No. 21-11, Initial Decision, at 32 (ALJ June 3, 2023). Put another way, "a common carrier must avoid shutting out any person or party for reasons not connected to legitimate transportation-related factors." *See id.* Therefore, in analyzing the reasonableness of Evergreen's conduct, CertiFit must demonstrate that it "affirmative[ly] act[ed]...to deal or engage in negotiations with the common carrier." *Id.* That said, the Commission has also recognized that in some circumstances it "is appropriate to defer to a party's reasonable business decisions," however, "this precedent does not eliminate the

¹⁰ Pursuant to Section 3.2.2 of the 2020 Service Contract, at the merchant's option, any shortage in transporting the minimum quantity commitment can be "reconciled upon expiration of the Contract by extending the term of the Contract" which would provide additional sailings to CertiFit based on the formula contained in Section 3.2.2. *See CX13-0798.*

Commission's responsibility to evaluate whether a party's decision-making practices resulted in violations of the Shipping Act." *Id.* (citing NPRM Refusal to Deal, 87 Fed. Reg. at 57676-57677) (footnotes omitted). In this case, the evidence proves that CertiFit's attempts to engage in good-faith discussions with Evergreen were met by refusals to even consider its requests, instead, Evergreen unreasonably pursued a course of conduct that solely benefited its interests.

The facts leading to the parties executing the 2020 Service Contract, communications following the start of the 2020-2021 shipping year, and Evergreen's conduct throughout, establish that it unreasonably refused to deal or negotiate with CertiFit. More specifically, Evergreen's scheme to withhold space in order to sell that contracted space to the highest bidder, resulted in it falling woefully behind in fulfilling its commitment which resulted in booking space being held under the pretense that a contract amendment needed to be executed. (CX13-0816-0821).

To start, the parties' negotiation in coming to an agreement in April 2020 show that CertiFit intended to ship between 500 and 1,000 containers and sought assurance that it would have space support. (CX7-0535, 0537-0538). In response, Kenneth Wu provided any all-in rate, and confirmed that "we will support based on the MQC that we signed. If we sign an MQC of 1000 TEU, then that would be roughly 10x40'HQ/week space support." (CX7-0538). Moreover, the all-in rate included any general rate increases. (CX7-0538; CX4-0487). As shipments began being refused several months into the term, CertiFit sent its first demand letter to Evergreen on August 13, 2020 describing Evergreen's conduct to "actively thwart[] our efforts to comply with the Agreement...[by] refusing to accept [] containers, and demanding significant additional surcharges to accept them, in excess of US\$1,000 per container." (CX7-0543). In response, Evergreen acknowledges that "the market rate has significantly increased over the last few months [but] we are not asking CertiFit to increase the contracted rates." (CX7-0545; CF03164). Additionally,

Evergreen provides several convenient reasons for the lack of shipments but ensures that Evergreen “is able to support CertiFit with approximately 5-8 FEU per week.” *See id.* Just two days after Evergreen’s renewed commitment, an internal CertiFit email states that its suppliers are having continued difficulty obtaining space: “The suppliers say Evergreen often cancel[s] the space in the end even though they got “YES” on the booking. Evergreen is not reliable.” (CF03179).

On November 12, 2020, approximately three months after the first demand was sent to Evergreen, CertiFit provides an update on the lack of space and Evergreen’s continued requests for additional surcharges, stating:

We have tendered many containers to Evergreen for shipment under the Agreement, but Evergreen continually refuses to accept them. Evergreen obviously has capacity to ship the containers, because Evergreen will accept CertiFit’s tendered containers if CertiFit pays a very substantial surcharge for each container, more than US\$1,000, per container, pushing the per-container shipping cost high above the amounts mutually accepted in the Agreement.

(CX7-0558)

Almost two weeks later, Evergreen responds, stating:

We receive [sic] another letter from you dated November 12th essentially stating very similar complaints as the previous letter you sent. My response below to the previous still applies as the market capacity and demand have not changed at all. In fact, it has become much worse since August...[due to] an extreme shortage of equipment...We will continue to do our best to service you at the agreed upon level and extra free time that was originally signed in the service contract. To be clear, we have not required or requested CertiFit to take any rate increase since the inception of the current service contract.

(CX7-0580)

Despite Evergreen’s contention that it had not “required or requested CertiFit to take any rate increase,” which directly contradicts CertiFit’s repeated statements, Evergreen imposed a general rate increase of \$1,000 effective November 15, 2020. (CX7-0556).

Evergreen's unreasonable refusal to deal or negotiate came to a head in January 2021. As discussed, Evergreen emailed a proposed amendment to CertiFit on January 8, 2021, and by January 14th, when CertiFit had not responded, Evergreen notified it that it was holding bookings until the proposed amendment was signed. And although Evergreen purportedly needed the amendment to add the port of Taipei—arguably a legitimate transportation-related factor—the true purpose was to reduce the minimum quantity commitment it had agreed to avoid providing additional sailings to CertiFit pursuant to the terms of the 2020 Service Contract.

Throughout 2020-2021 shipping year, the purported reasons Evergreen provided in response to CertiFit's demands and email communications ranged from Covid-19, equipment supply issues and, finally, the need to add the port of Taipei to the 2020 Service Contract. Despite Evergreen promising "10x40'HQ/week space support" and then "5-8 FEU per week," it was never provided. (CX7-0538; CX13-0816-0821). Instead, Evergreen reaped the benefits of selling CertiFit's contracted space to the highest bidder, and provided unsupported pretexts to CertiFit—*i.e.*, the port of Taipei was necessary to resume booking—when the actual goal was to minimize damages by lowering the commitment it had previously agreed to. This underhanded course of conduct was certainly unreasonable and not a good faith attempt by Evergreen to consider CertiFit's repeated requests. As a result, CertiFit sustained damages as it was required to obtain additional space, at a premium, to ship its cargo. (CX1-CX3; CX8).

F. Violation of 46 U.S.C. § 41102(c)

The evidence supporting the previous causes of action asserted by CertiFit are also applicable to Evergreen's unreasonable practices which violated the Shipping Act. 46 U.S.C. § 41102(c) provides that "[a] common carrier, marine terminal operator or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and

practices to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). In order to establish a claim for reparations under § 41102(c), the complainant must demonstrate the following:

- (1) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (2) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (3) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (4) The practice or regulation is unjust or unreasonable; and
- (5) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *see also*, *Final Rule: Interpretative Rule, Shipping Act of 1984*, 83 Fed. Reg. 64478 (Dec. 17, 2018); *Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 45367 (Sept. 7, 2018). The evidence shows that each of these factors are present which supports the Commission finding Evergreen’s unreasonable practices violate Section 41102(c).

1. Evergreen is an Ocean Common Carrier Under the Shipping Act

The first Section 41102(c) element requires CertiFit to demonstrate that Evergreen is a “common carrier” and a vessel operating “ocean common carrier” as defined in 46 U.S.C. § 40102(7) and (18), under the Shipping Act, and is thus subject to regulation by the Commission. An ocean common carrier is defined as a “vessel operating common carrier”¹¹ which “holds itself out to the general public to provide transportation by water of passengers or cargo between the

¹¹ 46 C.F.R. § 520.2 defines “ocean common carrier” similarly: “a common carrier that operates, for all or part of its common carrier service, a vessel on the high seas or the Great Lakes between a port in the United States and a port in a foreign country, except that the term does not include a common carrier engaged in ocean transportation by ferry boat, ocean tramp, or chemical parcel-tanker.”

United States and a foreign country for compensation; and assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and uses, for all or part of that transportation, a vessel operating on the high seas . . .” *Id.*

As previously discussed, Evergreen holds itself out to the general public to provide transportation by water of cargo between various points in the United States and various points or ports in foreign countries for compensation, through the utilization of vessels for all or part of the transportation. *See* Section III(A)(2)(i), *supra*. Similarly, it is undisputed that CertiFit’s cargo was carried by vessels operated by Evergreen between Taiwan and the United States. (CX4-0486; CX9). Based on Evergreen’s authority to perform the related to transport of cargo, CertiFit has established that it Evergreen was acting as an ocean common carrier.

2. Evergreen’s Acts or Omissions Occurred on a Normal, Customary, and Continuous Basis

To establish the second Section 41102(c) element, the unreasonable practice or regulation “must be normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business.” *Final Rule: Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 64 478 (FMC Dec. 17, 2018) (discussing the interpretive rule provision promulgated at 46 C.F.R. § 545.4(b)); *see also, Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, FMC Docket No. 15-04, 2021 WL 373849, *9 (FMC Aug 18, 2021) (“The essence of a practice is uniformity. It is something habitually performed and implies continuity...the usual course of conduct. It is not an occasional transaction.”) (quoting *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 178, 201 (FMC 1964)).

Here, the practices and regulations complained of are not confined to a handful of instances; rather it demonstrates systematic and continuous practices with an end goal of shirking its responsibilities of providing contracted space as agreed upon in favor of selling that same space

at higher prices. To be sure, CertiFit experienced the same conduct by Evergreen during the 2018-2019 shipping year. (CX7-0530-0531). Over the course of two contemporaneous shipping years in which CertiFit utilized Evergreen, it experienced the same conduct, with the 2020-2021 shipping year resulting in only 157 containers being transported by Evergreen which was considerably less than the 445 it had agreed to. (CX13-0816-0821). In the matter at hand, Evergreen repeatedly points to the pandemic and supply shortages, however, in the prior shipping year, those impediments were not present.

3. The Practice or Regulation Relates to or is Connected with the Receiving, Handling, Storing, or Delivering Property.

The third Section 41102(c) element requires CertiFit to demonstrate that Evergreen's practice or regulation is connected to the receiving, handling, storing, or delivering of property. Here, the practices and regulations alleged by CertiFit—*i.e.*, Evergreen entering into service contracts for the transportation of cargo at agreed upon rates and failing to accept tendered cargo in order to sell the contracted space at a higher rate—is directly related to the movement of cargo in ocean shipping. (CX4)

4. Evergreen's Practices and Regulations are Unjust or Unreasonable.

The fourth element CertiFit is required to prove is that the alleged practices and regulations are unjust and unreasonable. *See* 46 C.F.R. § 545.4. In analyzing the reasonableness of a carrier's practice, the Commission does not focus on the lawfulness of the practice but instead whether the practice is "tailored to meet its intended purpose" and whether it is "fit and appropriate to the end in view." *Distrib. Servs. Ltd. v. Trans-Pac. Freight Conf. of Japan & Its Member Lines*, 24 S.R.R. 714, 1988 WL 340659, at *7 (FMC Jan 6, 1988); *see also Investigation of Free Time Practices--Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966). A violation of Section 41102(c) "[r]equires [a] showing [that the] respondent did something or failed to do something that interfered with the

receiving, handling, storage, or delivery of cargo. *Bishma International v. Chief Cargo Services, Inc.*, FMC No. 10-08, Memorandum at 11-12 (FMC Sept. 4, 2013) aff'd sub nom. *Chief Cargo Services, Inc. v. FMC*, 586 Fed. Appx. 730 (2d Cir. 2014).

In this case, Evergreen's intended purpose was to sell allocated vessel space at top dollar due to the "market rate ha[ving] significantly increased." (CX7-0545; CF03164). There is no dispute that Evergreen has repeatedly entered into service contracts with Evergreen while not expecting to fulfill its service commitments at the contracted rate, but instead, favoring other shippers willing to pay more. Using Covid-19 as its smokescreen, Evergreen would claim it had no space available yet on at least eleven occasions, CertiFit's cargo was ultimately transported on an Evergreen vessel. (CX7-0559-0579). The reason those eleven shipments were accepted was because an inflated spot-market price was paid by CertiFit, which resulted in more profit to Evergreen than if they had provided space under the negotiated rates.

CertiFit's reliance on Evergreen was certainly misplaced. Evergreen's practice of entering into service contracts with no expectation of fulfilling the obligations it agreed to and withholding contracted space to raise the bottom line was unreasonable and continuously used throughout the 2018-2019 and 2020-2021 shipping years.

5. Evergreen's Practice is the Proximate Cause of CertiFit's Damages

Evergreen's unreasonable practices are the proximate cause of CertiFit incurring significant costs that it would not have otherwise had to expend had Evergreen provided vessel space as agreed upon. More specifically, CertiFit was forced to pay increased freight rates obtained on the spot market, negotiate additional carriage—at an increased cost—with OOCL, OEC, and Laufer. *See generally*, CX1-CX3; CX8. As a result, CertiFit's damages amount to \$329,809.00, which is based on shipping rate differentials between the rates Evergreen had agreed to, \$3,950 for

a shipment from Taiwan to Salt Lake City and \$3,900 from Taiwan to Memphis, and those charged by OOCL, OEC, and Laufer. *See id*; *see also* CX4-0486.

G. CertiFit Has Suffered Actual Injury.

CertiFit has established that Evergreen violated Sections 41102(c), 41104(a)(2)(A), 41104(a)(5), 41104(a)(9), and 41104(a)(10) and further demonstrated actual injury in the form of rate differentials it paid to have its cargo shipped. The “goal of awarding damages is to make the injured party whole,” thus, the “proper measure of damages is not reduced to one simple formula but must be evaluated on the individual facts of the case and calculated in order to make the injured party whole.” *Kobel v. Hapag-Lloyd A.G.*, FMC Docket No. 10-06, 2014 WL 5316331, at *14 (ALJ July 30, 2014) (Remand Initial Decision), *aff’d* 2015 WL 3465821 (FMC May 26, 2015); *see also Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 25 S.R.R. 1213, 1990 WL 427466, at *23 (FMC Oct. 19, 1990) (“Actual damages must be proved by the party seeking them and to ‘warrant recovery, the actual detriment must be shown by competent evidence and with reasonable certainty.’” Companies such as CertiFit enter into service contracts to hedge against fluctuations in the market, which is why CertiFit agreed to the beneficial rates that Evergreen provided it. Ultimately, CertiFit was required to find alternate means of transporting its cargo which threw it into the very circumstance it sought to avoid—purchasing container space piecemeal when rates were skyrocketing. The difference in those rates totals \$329,809.00, which CertiFit has every right to recoup based on the numerous violations of the Shipping Act by Evergreen.

IV. CONCLUSION

As a result of Evergreen’s violations of the Shipping Act, CertiFit was denied the benefits of the 2020 Service Contract and was forced to chase bookings from a carrier that had no interest

in holding up its end of the bargain. Due to Evergreen's unreasonable conduct, CertiFit was dropped into the very uncertainty it sought to avoid and had to pay an additional \$329,809.00 to have its cargo transported. CertiFit is entitled to the damages it has alleged, its attorneys' fees and costs, and such other relief the Commission deems just proper.

Respectfully Submitted
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 1st day of December, 2023, the foregoing Brief was served via electronic mail on:

Federal Maritime Commission
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Federal Maritime Commissions
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